

OCAD - ONE COMPANY A DAY

SERIES: MINING AND MATERIAL

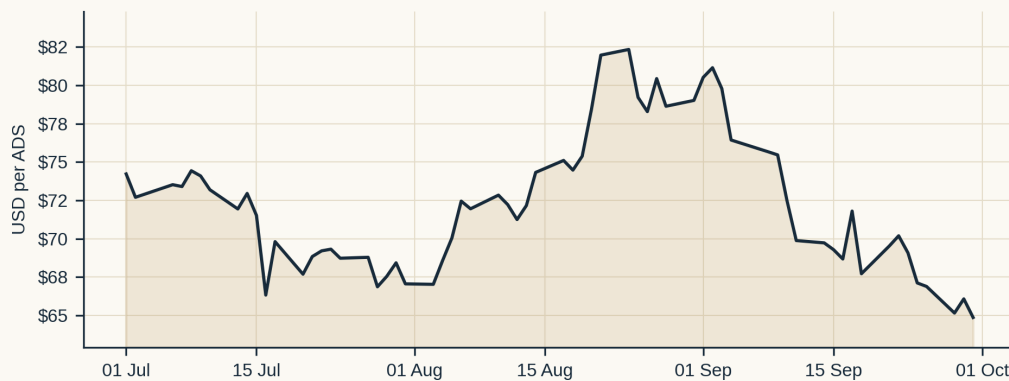
SQM

Sociedad Quimica y Minera de Chile S.A.

SQM (ADS, Series B) | New York Stock Exchange | Santiago: SQM-B

USD 64.87

Closing price, Wednesday 30 September 2026 (previous close USD 66.08, change -1.8%)



SQM ADS daily closing price, 1 July 2026 to 30 September 2026, USD. Source: Alpha Vantage daily series; most recent completed trading day shown.

REPORT DATE
1 October 2026

ANALYST
Arthur Faugeron

COUNTRY
Chile

SECTOR
Basic Materials, Specialty Chemicals

Executive Summary

Reading convention. Statements marked Sourced come from a named document in the source list. Statements marked Reasoned are the analyst's own inference, calculation or assumption. All figures are in US dollars unless stated. SQM reports under IFRS and its fiscal year ends 31 December; the latest reported period is the second quarter of 2026 (30 June 2026), and TTM means the four quarters to that date.

Business

What it does. SQM extracts lithium brine in the Salar de Atacama and sells lithium carbonate and hydroxide, and also produces iodine, specialty plant nutrients (potassium nitrate), potassium chloride and sulfate, and industrial chemicals; lithium generated USD 2,965m of the USD 4,228m of first-half 2026 revenue (70%) and about 78% of gross profit (Sourced). Customers are battery-material makers, fertilizer and nutrient distributors and iodine users across more than 100 countries, with 96.5% of revenue exported from Chile (Sourced).

Model. A low-cost brine extractor selling a price-taking commodity, now operating its Chilean lithium assets inside a joint venture with Codelco (NovaAndino Litio) under a contract with the state agency Corfo that runs to 31 December 2060 (Sourced).

Financial Condition

Metric	FY2025	TTM to Jun-26	Basis
Revenue, USD m	4,576	6,737	Reported / sum of quarters
Gross margin	29.6%	42.2%	Derived
EBITDA, USD m	1,503	2,971	Derived: operating income plus D and A (FY); sum of quarters (TTM)
Operating income (EBIT), USD m	1,088	2,624	Reported / sum of quarters
Net income attributable, USD m	588	1,389	Reported / sum of quarters
Operating cash flow, USD m	1,314	2,768	Reported
Free cash flow, USD m	438	1,957	Derived: OCF less capex
Net debt, USD m	2,043	966	Derived: debt and leases less cash and investments

Sources: SQM 2Q2026 earnings release; stockanalysis.com financial statements; Alpha Vantage quarterly statements. Calculations by the analyst.

Revenue rose 103% year on year in the first half of 2026 as realized lithium prices rose about 160% year on year to USD 21.8 per kg (Sourced), after a 2024 and 2025 trough in which net income was a loss of USD 404m in 2024 and only USD 588m in 2025. Free cash flow of USD 1.96bn on an equity value of USD 18.5bn is the clearest measure of what the stock is paying for.

Market Position

Competitors and position. The most relevant rivals are Albemarle, Rio Tinto (through its Arcadium Lithium business), Ganfeng, Tianqi (also a 21.9% SQM shareholder), and hard-rock producers such as PLS Group. SQM's advantage is cost: brine producers remain profitable at about USD 4,500 per tonne against a spot price near USD 20,000 (Sourced, third-party estimate). Its weakness is the loss of operating control of the Atacama assets to Codelco from 2031 and the need for a new environmental permit by the end of 2030 (Sourced).

Valuation

Measure	Value	Basis
Market capitalization	USD 18.53bn	285.64m shares x USD 64.87 (derived)
Enterprise value	USD 19.50bn ex minorities; USD 21.86bn incl. minorities at book	Market cap plus net debt USD 966m (plus USD 2,365m minorities)
P/E, trailing	13.3x	USD 64.87 / TTM EPS USD 4.86
EV/EBITDA, trailing	6.6x ex minorities; 7.4x incl. minorities	TTM EBITDA USD 2,971m
P/FCF, trailing	9.5x (FCF yield 10.6%)	USD 1,957m TTM free cash flow
Price to book	2.9x	Equity attributable USD 6,311m
Dividend yield	4.4%	Provider figure, USD 2.87 per ADS TTM

Source for price and share count: Alpha Vantage and stockanalysis.com (market data, 30 September 2026). Multiples calculated by the analyst.

Investment Framework

WHAT IS ATTRACTIVE	A low-cost brine position, a net debt to EBITDA ratio of 0.3x, free cash flow of USD 1.96bn TTM and a trailing earnings multiple of 13.3x (Reasoned).
WHAT IS CONCERNING	Earnings are a function of one commodity price that fell 70% between 2023 and 2025 and has since recovered 2.4 times; the state partner takes operating control in 2031; and a USD 3bn three-year capex plan consumes about half of current free cash flow.
WHAT MUST GO RIGHT	Lithium prices must hold within roughly USD 17 to 22 per kg, the Salar de Atacama permit must be renewed, and NovaAndino must reach more than 300,000 tonnes of LCE capacity in 2027 (Sourced, company target).
WHAT COULD BREAK THE THESIS	A return to the 2025 price of USD 9 per kg while volumes are being expanded, adverse terms on the Corfo or Codelco arrangements, or sodium-ion substitution in grid storage.
PRICED IN	The base DCF in this report gives about USD 61 per ADS (range USD 54 to 70 for WACC 9.5% to 11.5%), against a price of USD 64.87. The market is therefore pricing roughly the base case, which assumes revenue falls 12% in 2027 and EBIT margin settles at 33% (Reasoned).

Investment Profile

Dimension	Assessment
Business quality	Good: lowest-cost tier, but single-commodity and contract-dependent
Financial quality	Good: high cash conversion, though cash flow is volatile through the cycle
Competitive position	Strong in brine lithium and iodine; moderate overall moat
Growth profile	Cyclical recovery plus volume growth; price-dependent
Balance-sheet risk	Low to moderate: net debt 0.3x EBITDA, 2.6x current ratio
Valuation	Reasonable against base case; not discounted for a bear price path
Market and technical profile	Weak near term: below 50-day and 200-day averages, 34% under the 52-week high

A. About the Business

A1. Business Environment

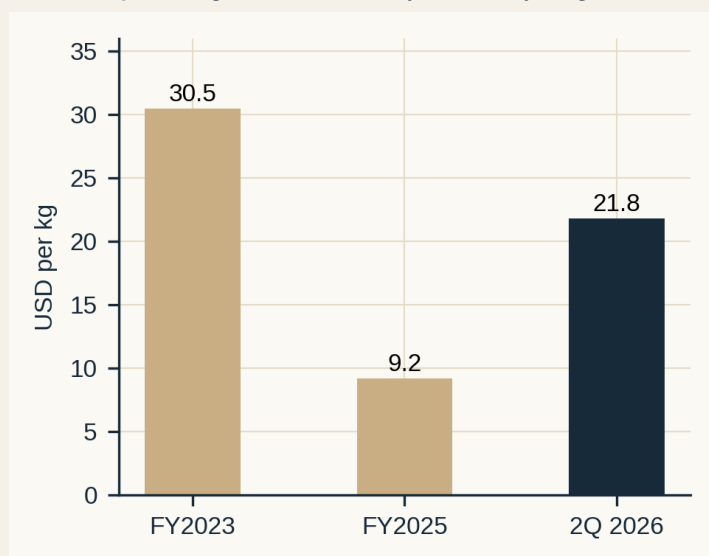
Industry definition. SQM sits in specialty chemicals and mining but behaves as a commodity lithium producer with two profitable annuities attached, iodine and specialty plant nutrients. The value chain runs from resource (brine or hard-rock spodumene) through concentration and conversion (carbonate, hydroxide), to cathode and battery makers, to vehicle and energy-storage buyers. Batteries account for 88% of world lithium consumption (Sourced, USGS Mineral Commodity Summaries 2026), so lithium pricing is in effect a derivative of electric vehicle and stationary storage demand.

Size and growth. Spot lithium carbonate traded at USD 19,750 to 22,564 per tonne in early September 2026, and the Chilean copper commission projects a 2027 floor of USD 21,363 per tonne, which the market is already testing (Sourced, third-party market note citing Cochilco). Cochilco estimates a surplus of 89,000 tonnes in 2024 and 141,000 tonnes in 2025, with a surplus persisting through at least 2027. Battery-grade carbonate averaged about USD 9,000 per tonne in 2025, 31% lower than 2024 (Sourced, USGS). Global battery storage additions reached 307 GWh in 2025, up 48%, with 459 GWh forecast for 2026, while electric vehicle sales rose only 4% in the first seven months of 2026 (Sourced, third-party market note).

Economics. Brine extraction is capital-intensive up front but has a low marginal cost; SQM's lithium is cost-advantaged against hard-rock conversion, where the cost curve sets the long-run price. Lithium is highly cyclical: realized prices fell from USD 30.5 per kg (2023) to USD 9.2 per kg (2025) and then rose to USD 21.8 per kg in the second quarter of 2026 (Sourced, SQM). Regulation is central: Chile treats lithium as strategic, and the 2025 Codelco partnership is a direct product of that policy.

Industry stage (Reasoned). Growing but highly cyclical, and structurally consolidating. Demand grows at double digits from a small base, yet supply additions from Chinese, African and Australian projects repeatedly overshoot. Value is captured by the lowest-cost holders of resource when prices are cheap, and by marginal high-cost miners and the state when prices rise: the Chilean state collected more than USD 1.6bn from SQM in the first half of 2026 alone through taxes, Corfo payments and the Codelco dividend (Sourced).

Chart 1. SQM average realized lithium price, USD per kg



Source: SQM 2Q2026 earnings release (2Q 2026, NovaAndino realized price); SQM Form 20-F 2025 (FY2023 and FY2025 average, converted from USD per tonne). FY2024 not retrieved.

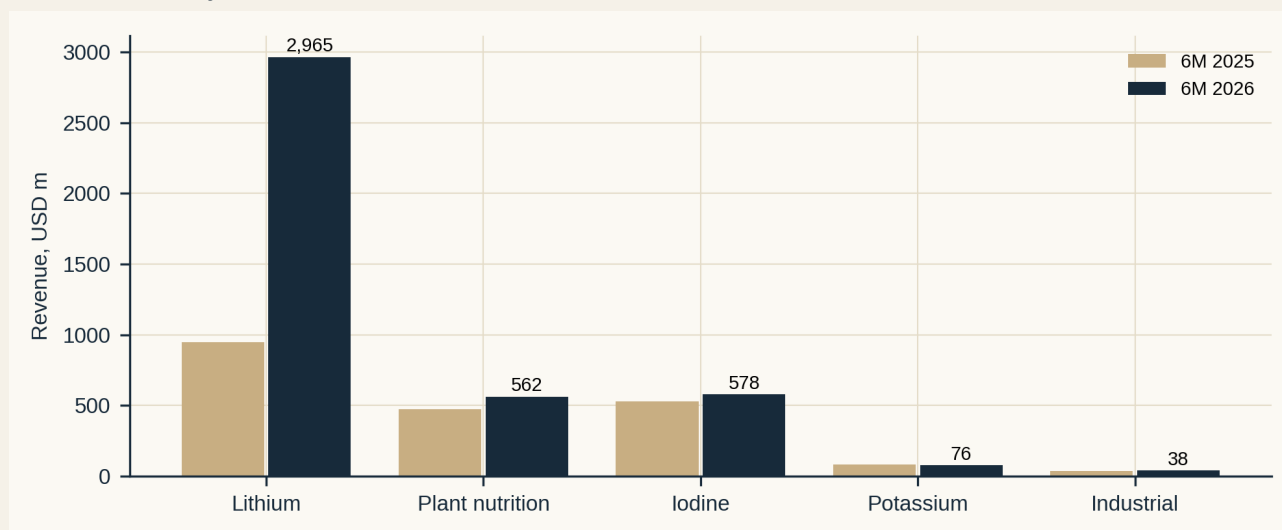
A2. What Does the Company Do?

SQM has four operating businesses plus industrial chemicals. In the first half of 2026, revenue was USD 4,228m: lithium and derivatives USD 2,965m, iodine USD 578m, specialty plant nutrition USD 562m, potassium USD 76m and industrial chemicals USD 38m (Sourced, SQM). Second-quarter volumes were 84,100 tonnes of lithium carbonate equivalent (LCE), 4,100 tonnes of iodine and 302,800 tonnes of plant nutrients. Prices in the quarter were USD 21.8 per kg for lithium, USD 73.4 per kg for iodine (a record) and USD 1,060 per tonne for plant nutrition.

Segment	6M26 revenue, USD m	6M25 revenue, USD m	Change	Share of 6M26 gross profit
Lithium and derivatives	2,964.8	948.1	+212.7%	78%
Specialty plant nutrition	562.0	472.6	+18.9%	6%
Iodine and derivatives	578.1	526.3	+9.9%	16%
Potassium	75.6	82.9	-8.8%	0.5%
Industrial chemicals	38.4	38.0	+1.0%	0.8%
Consolidated	4,228.5	2,079.3	+103.4%	100%

Source: SQM 2Q2026 earnings release. Segment shares of gross profit are as reported and sum to slightly over 100% because of unallocated items.

Chart 2. Revenue by business line, six months, USD m



Source: SQM 2Q2026 earnings release, six months to 30 June 2025 and 2026.

How a dollar enters the company and where it goes (Reasoned, based on reported cost lines)

Of each dollar of TTM revenue, about 58 cents is cost of sales (USD 3,897m of USD 6,737m), 3 cents is administrative expense, and roughly 39 cents is operating profit. Interest takes about 3 cents. Income tax is the largest claim after cost of sales: USD 738m was charged in the first half of 2026 against pre-tax profit of about USD 1.9bn. Of the remainder, a minority share belongs to partners in consolidated ventures, and the balance becomes attributable net income of 20.6 cents per dollar of revenue, which is either paid as dividends (USD 350m TTM), retained, or reinvested through capital expenditure (USD 811m TTM).

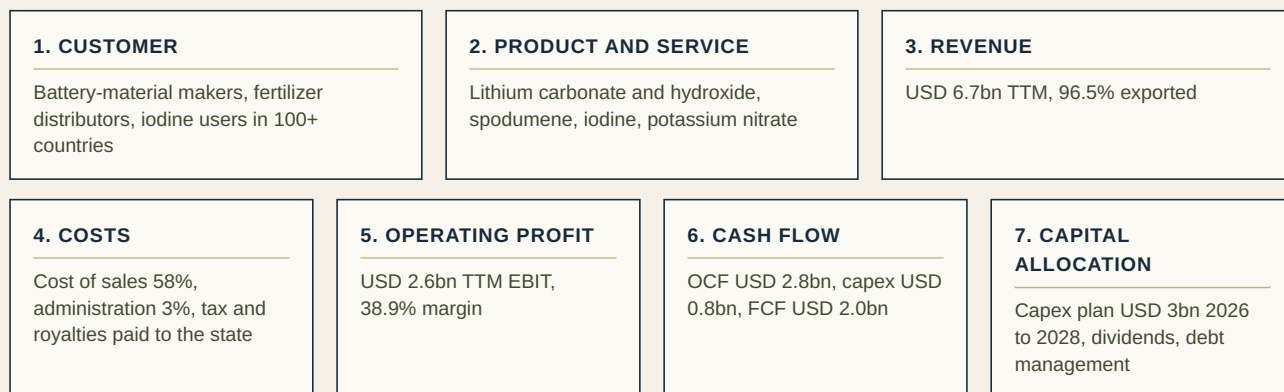


Chart: Operating model from customer to capital allocation. Source: SQM financial statements; calculations by the analyst.

Pricing and recurrence. Lithium is sold under a mix of annual and multi-year contracts with price formulas linked to market indices; iodine is sold on negotiated contracts with several suppliers; plant nutrients are sold through a distribution network (Reasoned from the 20-F structure; detailed contract terms not retrieved). Recurring revenue is therefore partial: iodine and plant nutrition (about 27% of first-half revenue) are far steadier than lithium. **Capital needs:** a three-year capex plan of USD 3bn (2026 to 2028), of which about 60% goes to NovaAndino, 20% to iodine and plant nutrition and 20% to the international lithium division, plus about USD 300m per year of sustaining capex (Sourced).

MOST ECONOMICALLY IMPORTANT PARTS OF THE MODEL

Lithium price multiplied by NovaAndino volume determines most of EBITDA. A change of USD 1 per kg on about 280,000 tonnes of LCE sold is about USD 280m of revenue, before the partner share and tax (Reasoned from company 2026 production guidance of 280,000 to 290,000 tonnes). Iodine, at USD 73 per kg and a record price, is the second engine at 16% of gross profit.

A. About the Business, continued

A3. Business and Relationship Network

Node	Counterparty	Why it matters economically
Parent and shareholders	Pampa Group 25.48% of shares and 94.19% of Series A; Tianqi Lithium 21.9% (divesting up to 1.25%)	Pampa holds 94.19% of the Series A shares; Tianqi is both a shareholder and a competitor, a conflict flagged in the 20-F (Sourced)
State partner	Codelco and Corfo	NovaAndino Litio is a 2025 joint venture; Corfo contract runs to 2060; Codelco controls management from 2031 (Sourced)
Major subsidiaries and divisions	NovaAndino Litio (Chile); International Lithium Division (Mt. Holland, Australia); Iodine and Plant Nutrition Division	NovaAndino produced 75,800 tonnes LCE in 2Q26; Mt. Holland sells spodumene concentrate, 8,300 tonnes LCE in 2Q26 (Sourced)
Strategic partners	Mt. Holland joint venture partners in Western Australia	Expansion would double spodumene output to about 350,000 tonnes per year by 2030; SQM share USD 450m to 500m (Sourced)
Customers	Cathode and battery makers, fertilizer distributors, iodine users	Exports to 100+ countries; customer concentration by name not retrieved
Labor	22 unions covering 82% of the Chilean workforce of 6,840	Strike and wage-negotiation exposure (Sourced, 20-F)
Competitors	Albemarle, Rio Tinto/Arcadium, Ganfeng, Tianqi, PLS	Set the global cost curve and contract prices (Reasoned)

Source: SQM Form 20-F 2025 (shareholders as of 31 March 2026); SQM 2Q2026 earnings release; SQM management page.

Reading the network. The Chilean state sits on both sides of the table: it is the licensor (Corfo), a joint-venture partner (Codelco), the tax authority, and soon the operator. The Salar de Atacama contributed 50.1% of 2025 consolidated revenue (Sourced, 20-F), so one asset, one contract and one environmental permit carry half the company.

A4. Competition

Company	Sells	Scale and valuation (latest)	Relative position vs SQM
Albemarle (US)	Lithium, bromine, catalysts; brine in Chile (Atacama) and Nevada, hard rock in Australia	Revenue USD 5.91bn TTM; net margin 3.8%; EV/EBITDA 8.7x; forward P/E 11.1x	Direct brine competitor in the same salar; higher cost and lower margins than SQM; more diversified
Rio Tinto, lithium unit (Australia/UK)	Lithium carbonate and hydroxide via the former Arcadium Lithium assets	Part of a diversified miner; not separately reported	Well-capitalized entrant; competes for the same battery customers (Reasoned)
Ganfeng and Tianqi (China)	Integrated lithium chemicals and mine ownership	Not retrieved	Cost-pressured Chinese converters set the price floor; Tianqi also owns 21.9% of SQM

Company	Sells	Scale and valuation (latest)	Relative position vs SQM
PLS Group (Australia)	Spodumene concentrate (Pilgangoora)	Revenue A\$967m TTM; net loss A\$94m; forward P/E 15.7x	Pure hard-rock price taker; higher-cost than brine; no downstream
Mosaic (US)	Potash and phosphate	Revenue USD 12.25bn TTM; EV/ EBITDA 7.4x; net loss	Competes in potassium only; potassium is 1.8% of SQM revenue

Sources: stockanalysis.com statistics pages for Albemarle, PLS Group and Mosaic (accessed 1 October 2026); SQM Form 20-F 2025. Peer descriptions of business lines are Reasoned from general industry knowledge where not otherwise stated.

Why these peers. Albemarle competes with SQM for the same Atacama brine economics and customers; PLS represents the hard-rock marginal cost supply; Mosaic is the nearest listed benchmark for the potassium line only. Iodine, SQM's second profit pool, has no large listed comparator (Reasoned). The direct substitute products are sodium-ion batteries in stationary storage, and lithium iron phosphate chemistry, which changes the product mix, not the lithium input.

A. About the Business, continued

A5. Competitive Differences

Factor	Assessment	Temporary or structural
Cost position	Brine cost of about USD 4,500 per tonne against USD 20,000 spot (Sourced, third-party estimate)	Structural, tied to Atacama grade and solar evaporation
Resource quality and scale	NovaAndino target above 300,000 tonnes LCE in 2027; 2026 guidance 280,000 to 290,000 tonnes	Structural, subject to permits
Iodine franchise	Record USD 73.4 per kg; seawater pipeline in commissioning; 2026 production about 15,500 tonnes	Structural but price-sensitive as third-party supply enters
Vertical integration	Spodumene capacity in Australia (Mt. Holland) alongside Chilean brine	Moderate
Customer relationships	Long-standing battery-material customers in 100+ countries	Moderate
Disadvantage: control	Codelco assumes management in 2031; new environmental approval needed by end-2030	Structural risk
Disadvantage: concentration	Salar de Atacama is 50.1% of 2025 revenue; lithium 70% of 6M26 revenue	Structural
Disadvantage: governance	Competitor (Tianqi) is a 21.9% shareholder; Pampa controls Series A	Structural

Source: SQM 2Q2026 earnings release; SQM Form 20-F 2025; third-party market note for cost per tonne.

Moat rating (Reasoned): Moderate to Strong. The cost advantage and the quality of the Atacama resource are real and durable, and are evidenced by a TTM gross margin of 42% in a year when hard-rock peers such as PLS reported an operating margin of 0.7%. The moat is weakened by the fact that SQM does not own its resource outright: the right to extract is a contract, and from 2031 the counterparty manages it. A commodity producer with a cost moat but no pricing power cannot earn above-average returns through the cycle; Net margin has ranged from a loss of 8.9% (FY2024) to 36.5% (FY2022), which shows the dependence of returns on price rather than on structural advantage.

A6. Industry Trend

Classification: Cyclical and consolidating, with structural demand growth. The structural trend (Reasoned, supported by sourced data) is demand growth driven by energy storage, where 2025 additions of 307 GWh grew 48%, offsetting weaker electric vehicle growth in China, where domestic retail sales fell 12.5% in the first seven months of 2026 after purchase-tax rebates were halved. The temporary conditions are an inventory overhang and the supply surplus (Cochilco: 141,000 tonnes in 2025), and the recent price recovery from the 2025 trough.

What could reverse the trend. Sodium-ion batteries are tax-exempt in China through end-2028 and compete directly in stationary storage; Chinese producers have refused to curtail supply at depressed prices; China's consumption tax on vehicles rises from 2% (September 2026) to 4% (2027); and BloombergNEF has cut its battery demand forecast by about 8% (all Sourced, third-party market note, September 2026). On the other side, SQM management expects global lithium demand above 2.1 million tonnes LCE in 2026 and described third-quarter prices as relatively stable (Sourced, management claim, not independently verified).

A7. Management

Executive	Role	Background and tenure
Ricardo Ramos	Chief Executive Officer	Joined 1989; CFO and VP Corporate Services 1994 to 2018; CEO since January 2019. Engineer, Pontificia Universidad Catolica de Chile
Gerardo Illanes	Chief Financial Officer	Joined 2006; VP Corporate Finance, CFO since 2018. MBA, Emory University
Carlos Diaz Ortiz	CEO, NovaAndino Litio	Joined 1996; Executive VP Lithium from December 2021
Pablo Altimiras	CEO, Iodine and Plant Nutrition	Joined 2007; Executive VP Iodine Nitrates from December 2021
Mark Fones	CEO, International Lithium Division	Background not provided by the company page

Source: SQM management page (sqm.com), accessed 1 October 2026.

Assessment (Reasoned). The leadership is internally promoted, with a 37-year company career for the CEO, which gives operational depth but limited outside perspective. Capital allocation has been procyclical in one respect: dividends of USD 2,238m in 2022 and USD 1,471m in 2023 were paid at peak earnings, while only USD 4m was paid in 2025 as the company funded expansion with debt (Sourced, cash flow statement). Net debt rose from a net cash position of USD 626m at the end of 2022 to USD 2,393m at the end of 2024, financing capex of about USD 1bn per year, which is aggressive for a price-taking producer but has been repaid in part by 2026. The Codelco agreement was an important strategic decision: it secured the right to operate to 2060 at the cost of ceding control in 2031, and put USD 2.4bn of minority interest on the balance sheet (Sourced). Insider ownership by the management team was not retrieved; the real alignment question is the 25.48% Pampa stake and the 21.9% Tianqi stake, held by parties whose interests (a controlling group and a competitor) differ from those of minority ADS holders. Management reported a 6M26 record and guided to stable third-quarter lithium prices; guidance accuracy cannot be assessed without prior-year guidance, which was not retrieved.

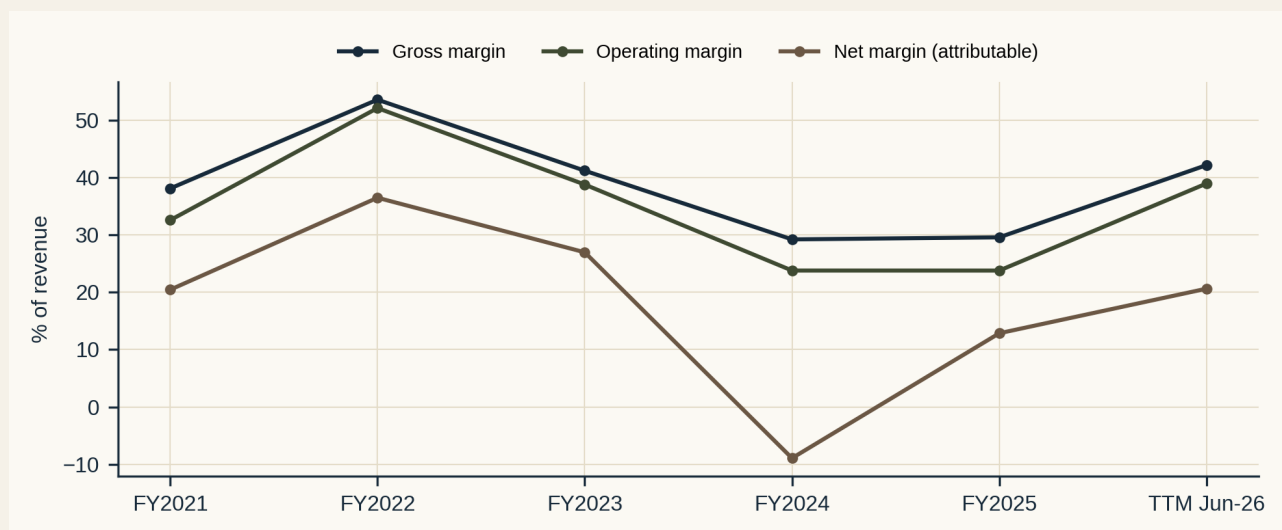
B. Evaluation

B1. Financial and Operating Metrics

Profitability	FY2021	FY2022	FY2023	FY2024	FY2025	TTM
Gross margin	38.1%	53.6%	41.2%	29.2%	29.6%	42.2%
EBITDA margin	40.0%	54.4%	42.5%	31.3%	32.9%	44.1%
Operating (EBIT) margin	32.6%	52.1%	38.8%	23.8%	23.8%	38.9%
Net margin (attributable)	20.4%	36.5%	27.0%	-8.9%	12.9%	20.6%
ROE	n/a	n/a	n/a	n/a	n/a	21.8%
ROIC	n/a	n/a	n/a	n/a	n/a	16.9%
ROA	n/a	n/a	n/a	n/a	n/a	11.6%

Sources: stockanalysis.com income statements, cash flow and statistics (ROE, ROIC, ROA, TTM); Alpha Vantage. EBITDA derived as operating income plus depreciation and amortization; TTM EBITDA is the sum of four reported quarters. Historical ROE, ROIC and ROA by year were not retrieved.

Chart 3. Gross, operating and net margin, % of revenue



Source: stockanalysis.com annual statements FY2021 to FY2025 and trailing twelve months to 30 June 2026; net income attributable to SQM shareholders.

Growth, FY2021 to FY2025 (4-year CAGR)	Value	Comment
Revenue	12.4%	Peak in 2022 at USD 10.7bn; 2025 is 57% below peak
EBITDA (derived)	7.1%	Margin expansion not sustained after 2022
EPS (diluted)	0.1%	Flat: FY2021 USD 2.05, FY2025 USD 2.06, with a loss in 2024
Free cash flow	5.2%	Volatile; negative USD 1,282m in 2023

Source: stockanalysis.com. CAGR calculated by the analyst. A four-year endpoint CAGR hides the 2022 peak and 2023 to 2024 trough and should be read with the table of annual values.

Efficiency, leverage and cash flow (TTM to 30 June 2026 unless stated)

Metric	Value	Meaning
Inventory turnover	2.1x (about 173 days)	Cost of sales USD 3,897m over average inventory USD 1,851m; slow because brine and product are held for contract timing (Reasoned)
Receivable days	About 54	Trade receivables USD 1,000m on TTM revenue
Asset turnover	0.43x	Revenue over average total assets of USD 15.6bn; capital-intensive
Debt to EBITDA	1.8x	Financial debt USD 5,217m (excl. leases)
Net debt to EBITDA	0.33x	Net debt USD 966m including leases; FY2025 was 1.36x
Debt to equity	0.61x	Provider figure
Interest coverage	13.1x	EBIT USD 2,624m over interest expense USD 199m (sum of last four quarters)
FCF margin	29.0%	USD 1,957m over USD 6,737m
FCF yield	10.6%	FCF over market cap USD 18,531m
OCF to net income	2.0x	Operating cash flow of USD 2,768m over USD 1,389m; the gap reflects D and A of USD 430m and tax timing (Reasoned)
Capex to revenue	12.0%	FY2025 was 19.2%

Sources: SQM 2Q2026 earnings release and stockanalysis.com. Ratios calculated by the analyst.

B. Evaluation, continued

B2. Risks

Risk	Category	Probability	Impact	Score	Comment
Lithium price returns to 2025 levels (USD 9 per kg)	Macro / commodity	3	5	15	Realized price fell 70% between 2023 and 2025; surplus projected through 2027 (Sourced)
Loss of control and permit risk after 2030	Regulatory	3	5	15	Codelco manages from 2031; new environmental approval by 31 December 2030 (Sourced)
Sodium-ion and chemistry substitution	Technological	3	4	12	Tax-exempt in China to end-2028; competes in storage (Sourced)
Capex overrun and returns dilution	Financial	3	3	9	USD 3bn plan; Salar Futuro USD 3bn over about seven years
Chilean policy, royalty or tax changes	Regulatory	2	4	8	USD 1.6bn paid to the state in 1H26 (Sourced)
Chinese oversupply and competitor pricing	Competitive	3	3	9	Producers refusing to curtail (Sourced, third-party)
Concentration: Salar de Atacama 50.1% of revenue	Business	2	4	8	Single asset, single permit (Sourced)
Governance: competitor as 21.9% shareholder	Business	2	3	6	Disclosed in 20-F risk factors (Sourced)
Labor action	Business	2	3	6	82% of workforce unionized (Sourced)
Multiple compression at cycle peak earnings	Valuation	3	3	9	13.3x trailing P/E rests on peak-like earnings (Reasoned)
Cybersecurity and operational incidents	Technological	1	3	3	Not specifically retrieved (Reasoned)

Probability and impact are scored 1 (low) to 5 (high) by the analyst (Reasoned); score is probability multiplied by impact. Financial risks of debt and liquidity are low in the current balance sheet: current ratio 2.61x, net debt to EBITDA 0.33x.

THE THREE RISKS MOST CAPABLE OF PERMANENTLY IMPAIRING VALUE

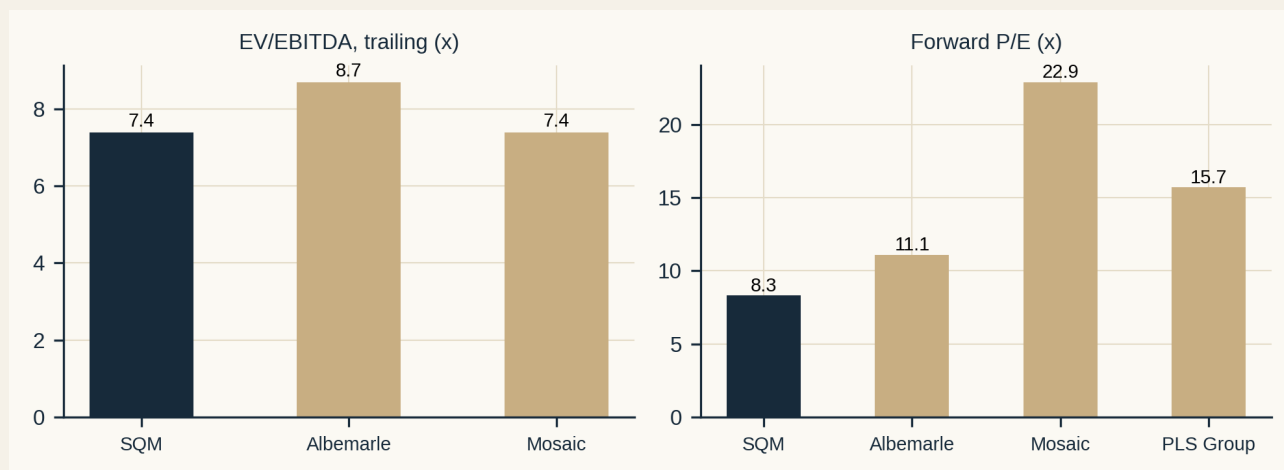
1. Structurally lower lithium prices. If the cost curve of Chinese and African producers keeps the price near USD 9 to 12 per kg, a business now earning USD 2.6bn EBIT would earn closer to USD 1.1bn, the FY2025 level, while carrying a USD 1bn per year capex plan. **2. The post-2030 regime.** Management control passing to Codelco and the need for a new environmental approval place the long-run value of the largest asset under political rather than commercial control. **3. Technological substitution.** Sodium-ion in grid storage would remove the demand segment that is currently offsetting weak electric vehicle sales.

B3. Valuation

Multiple	SQM	Albemarle	PLS Group	Mosaic
Price (30 Sep / latest)	USD 64.87	USD 105.78	A\$ 5.41	USD 21.65
Market cap	USD 18.5bn	USD 12.5bn	A\$ 16.3bn	USD 6.9bn
P/E, trailing	13.3x	217.0x	n/a (loss)	n/a (loss)
P/E, forward	8.3x to 11.0x	11.1x	15.7x	22.9x
EV/EBITDA, trailing	7.4x (6.6x ex minorities)	8.7x	85.5x	7.4x
P/S	2.8x	2.1x	16.9x	0.6x
P/FCF	9.5x	9.3x	n/a	n/a
Net margin	20.6%	3.8%	-9.7%	-5.2%

Sources: stockanalysis.com (SQM, ALB, PLS, MOS statistics, accessed 1 October 2026); Alpha Vantage company overview (SQM forward P/E of 10.95x versus 8.30x at stockanalysis.com; both shown). Peer data are provider figures with differing fiscal periods and currencies; PLS in Australian dollars. SQM EV/EBITDA and P/E calculated by the analyst.

Chart 4. Peer multiples, trailing EV/EBITDA and forward P/E



Source: stockanalysis.com (Albemarle, Mosaic, PLS Group), analyst calculation (SQM). PLS Group EV/EBITDA of 85.5x is not shown because it is not meaningful on depressed trailing earnings. Latest available, 1 October 2026.

Fiscal year end	Closing price, USD	Diluted EPS, USD	P/E at year end
31 Dec 2021	50.43	2.05	24.6x
31 Dec 2022	79.84	13.68	5.8x
31 Dec 2023	60.22	7.05	8.5x
31 Dec 2024	37.34	-1.42	n/m
31 Dec 2025	71.64	2.06	34.8x
30 Sep 2026 (TTM EPS 4.86)	64.87	4.86	13.3x

Sources: Alpha Vantage weekly series (last close of each year); stockanalysis.com (EPS). P/E calculated by the analyst. The price series is the unadjusted close of the ADS; the 2024 loss makes the multiple not meaningful.

Historical valuation (Reasoned). The table shows that the market has paid between about 6x and 35x year-end earnings over five years. The multiple was lowest at the peak of earnings in 2022 (5.8x), when the market anticipated mean reversion, and highest when earnings were depressed in 2025 (34.8x). A trailing 13.3x multiple on earnings that are already roughly 2.4 times 2025 EPS (and 2.0 times 2025 EBITDA) is therefore consistent with a market that treats current earnings as partly cyclical, not as a bargain.

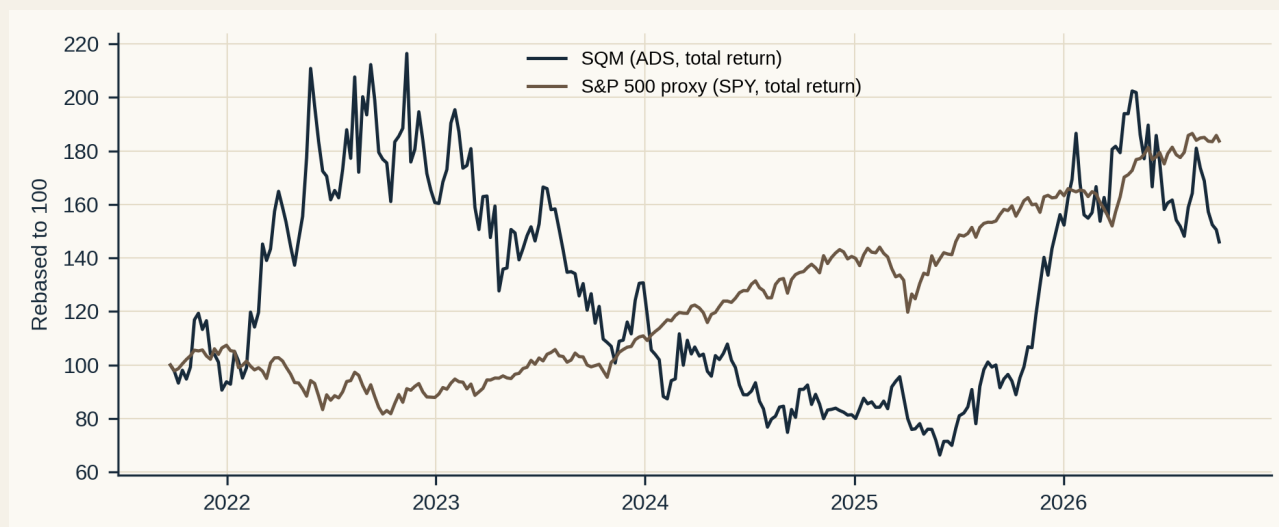
Peer view (Reasoned). SQM trades at 7.4x EBITDA against Albemarle at 8.7x, with a net margin of 20.6% against 3.8%. Albemarle's trailing P/E of 217x reflects depressed earnings and is not informative. On a forward basis SQM at 8.3x to 11.0x trades near Albemarle at 11.1x. The discount to Albemarle on EBITDA is modest and consistent with the post-2030 control risk and the 21.9% competitor shareholder.

What is priced in. At USD 64.87 the stock sits within the base-case DCF range of USD 54 to 70 (Section C5). To justify the price, investors must accept: lithium prices that fall about 12% on average in 2027 and 5% in 2028 before growth resumes at 2% to 4%; EBIT margins settling at 33% (against 39% TTM and 24% in 2025); capital intensity of 7% of revenue in the long run; and a terminal growth rate of 2.5% (Reasoned). Against the 2025 trough these are optimistic; against a 2022 peak they are conservative. Overall: **Reasonable**, with the valuation exposed to the price of lithium rather than to operating execution.

B4. Capital Market and Stock Analysis

Period to 30 Sep 2026	SQM ADS total return	S&P 500 proxy (SPY) total return
1 week	-6.1%	n/a
1 month	-17.9%	-0.7% (4 weeks)
3 months	-12.4%	+2.7% (13 weeks)
6 months	-19.7%	+16.9%
Year to date	-6.5%	+11.3%
1 year	+55.3%	+15.2%
3 years	+26.3%	+84.1%
5 years	+56.6%	+86.3%

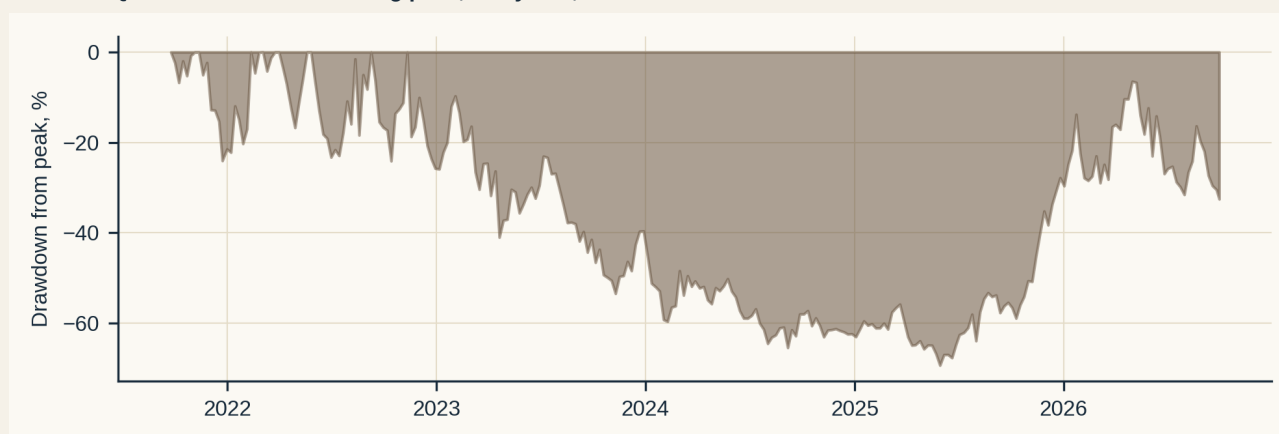
Sources: Alpha Vantage daily series (1 week, 1 month and 3 months, close to close) and weekly dividend-adjusted series (longer periods and SPY, last weekly close 30 September 2026). Calculated by the analyst.

Chart 5. SQM versus S&P 500 proxy, five years, rebased to 100

Source: Alpha Vantage weekly adjusted closes, 24 September 2021 to 30 September 2026. Total return including dividends.

Risk measure (weekly returns)	1 year	3 years	5 years
Annualized volatility	47.0%	45.1%	50.7%
Downside volatility (annualized)	23.7%	25.3%	27.8%
Beta versus SPY	0.99	0.77	0.98
Correlation with SPY	0.26	0.24	0.31
Maximum drawdown (5 years)	-69.3% (trough 30 May 2025)		

Source: Alpha Vantage weekly adjusted closes; analyst calculation. Provider-reported beta is 1.02 (stockanalysis.com) and 1.016 (Alpha Vantage). A low correlation of 0.25 to 0.31 shows that SQM is driven by lithium, not by the equity market, which makes its beta statistically weak.

Chart 6. SQM drawdown from running peak, five years, %

Source: Alpha Vantage weekly adjusted closes, 24 September 2021 to 30 September 2026; analyst calculation.

Behavior. The price peaked at USD 115.76 on a weekly high in May 2022 and fell about 69% to its trough in the lithium downturn; it recovered to a 52-week high of USD 98.00 (weekly high, May 2026) and has since declined about 34% to USD 64.87. Annualized volatility of 45% to 51% is typical of a commodity producer and about three times the volatility of the broad market. Short interest is 1.64% of float and institutional ownership is 34% (Sourced, stockanalysis.com). Average

daily volume over the last 20 sessions was 1.01m ADS against 1.05m over the last 100, so selling has not been accompanied by unusual volume.

Chart 7. Technical structure, USD, daily, 8 May 2026 to 30 September 2026



Source: Alpha Vantage daily series; 50-day average, RSI (14) and MACD (12, 26, 9) calculated by the analyst. The 50-day average starts after 50 sessions of data.

Technical read (Reasoned). The stock closed at USD 64.87, below the 50-day average (USD 72.39) and below the 200-day average of USD 76.75 (Alpha Vantage). RSI (14) is 34.5, close to oversold; MACD is -2.50 against a signal of -1.86, which is a bearish crossover still in force; the 14-day average true range is USD 2.38, or 3.7% of the price. Recent support sits near the USD 64.18 low of 28 September and a reaction from USD 66 to 70 is the first resistance zone; resistance above that is at the broken 50-day average. This is a downtrend that began after the mid-May peak near USD 95 and after the mid-August earnings release failed to produce a lasting gain. The structure is a description of positioning and momentum and does not alter the fundamental valuation: the stock can be technically weak and fundamentally reasonable, or the reverse.

C. Financial Statements

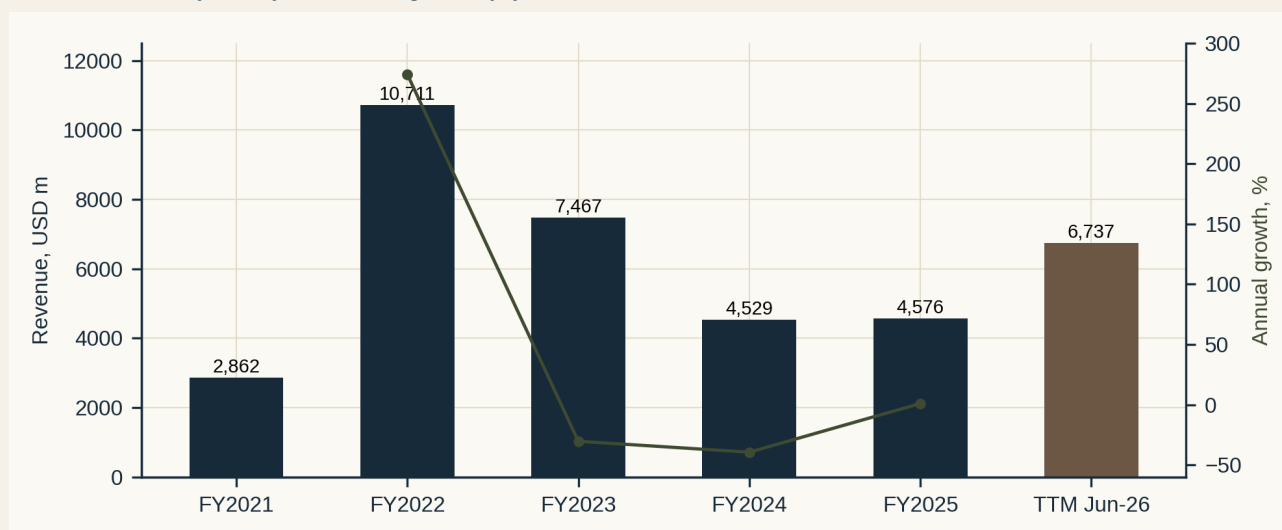
All figures in USD millions, IFRS as reported by SQM, fiscal years ending 31 December. FY2021 to FY2025 values are taken from annual statements published by stockanalysis.com and cross-checked to Alpha Vantage; differences are noted. Net income is attributable to SQM shareholders. TTM is the four quarters to 30 June 2026.

C1. Income Statement

USD m	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Revenue	2,862	10,711	7,467	4,529	4,576	6,737
Revenue growth	n/a	+274.2%	-30.3%	-39.3%	+1.0%	n/a
Gross profit	1,090	5,737	3,075	1,323	1,353	2,840
Operating income	932	5,580	2,895	1,077	1,088	2,624
EBITDA (derived)	1,145	5,823	3,176	1,418	1,503	2,971
Net income (attributable)	585	3,906	2,013	-404	588	1,389
Diluted EPS, USD	2.05	13.68	7.05	-1.42	2.06	4.86
Administrative expense	88	74	68	127	93	n/a

Sources: stockanalysis.com (revenue, gross profit, operating income, net income, EPS); Alpha Vantage (administrative expense, sum of quarters for TTM EBITDA). Administrative expense differs by definition between providers and TTM was not retrieved. FY2025 revenue is USD 4,576m at stockanalysis.com and USD 4,569m at Alpha Vantage; operating income USD 1,088m versus USD 1,135m; the company-aligned figure is used.

Chart 8. Revenue (USD m) and annual growth (%)



Source: stockanalysis.com annual income statements FY2021 to FY2025; TTM to 30 June 2026 is the sum of four reported quarters (Alpha Vantage).

Drivers. Revenue growth is price-driven, not volume-driven (Sourced and Reasoned). The first-half 2026 increase of 103% came with lithium volume up 42% (153,100 tonnes LCE versus 108,100) but realized price up about 160% in the second quarter; the price and mix effect is therefore roughly 70% of the increase (Reasoned, log decomposition). Iodine contributed +9.9% on volume up 8%, and plant nutrition +18.9% on volume up 11% with price up. Acquisitions were not a driver in

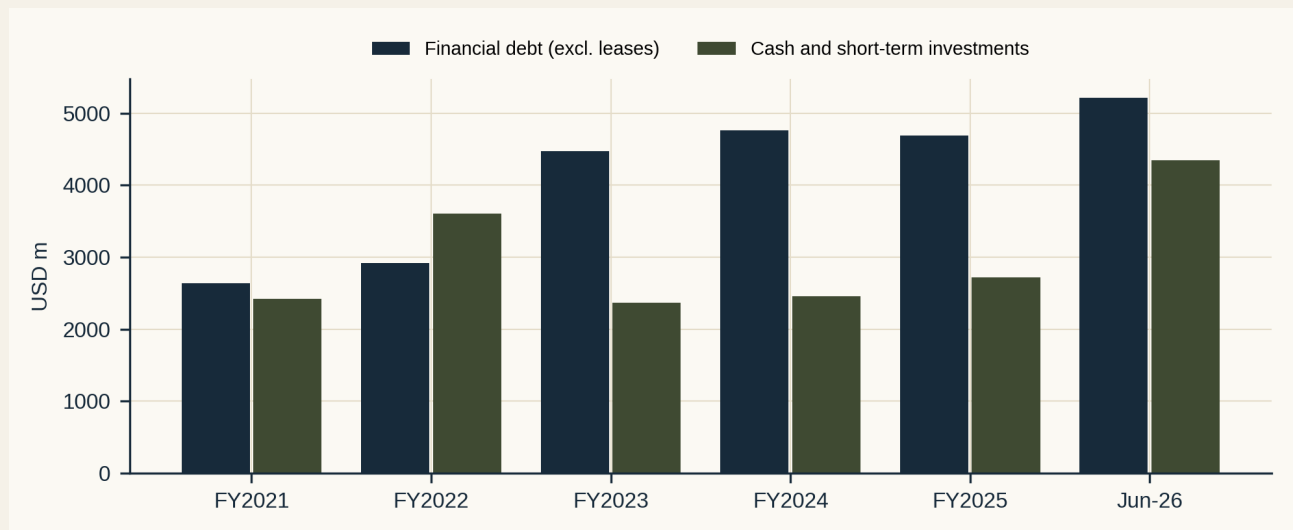
2026; the 2025 acquisition-like event was the Codelco joint venture, which added USD 2.4bn of intangible assets and USD 2.4bn of minority interest.

Operating leverage and margins. The gross margin moved from 38.1% in 2021 to 53.6% in 2022, 41.2% in 2023, 29.2% in 2024 and 29.6% in 2025, before reaching 42.2% TTM and 51.0% adjusted EBITDA margin in the first half of 2026. Because cost of sales is largely fixed in the short term (brine pumping, evaporation, conversion), operating leverage is high: first-half revenue doubled while cost of sales rose only 44%, and administrative expense fell from 4.4% to 2.4% of revenue. Margins are expanding in 2026 and are cyclical rather than structurally expanding (Reasoned). The 2024 net loss of USD 404m occurred despite USD 1,077m of operating income because of an income tax charge of about USD 1.37bn (Sourced, Alpha Vantage); the detailed explanation was not retrieved, and the analyst treats it as a non-recurring item linked to the 2024 and 2025 restructuring with Codelco (Reasoned).

C2. Balance Sheet

USD m	FY2021	FY2022	FY2023	FY2024	FY2025	Jun-26
Cash and short-term investments	2,420	3,605	2,365	2,455	2,722	4,349
Receivables	854	1,241	898	1,054	1,044	1,231
Inventory	1,184	1,784	1,775	1,702	1,803	1,898
Total current assets	4,586	6,992	5,866	5,578	5,780	7,659
Property, plant and equipment	2,065	2,788	3,683	4,518	4,910	5,084
Intangible assets and goodwill	215	167	157	169	2,554	2,552
Total assets	7,180	10,819	11,706	11,496	14,505	16,648
Total current liabilities	992	3,052	2,351	2,219	1,769	2,940
Financial debt (current and long-term)	2,639	2,917	4,469	4,764	4,692	5,217
Total liabilities	3,964	5,887	6,139	6,298	6,451	7,972
Equity attributable to shareholders	3,182	4,897	5,531	5,161	5,691	6,311
Minority interest	34	35	36	37	2,363	2,365

Source: stockanalysis.com balance sheet; SQM 2Q2026 earnings release (30 June 2026). Financial debt is current portion plus long-term debt excluding leases. Intangibles include goodwill of USD 1m; the FY2025 jump reflects the Codelco partnership (Reasoned).

Chart 9. Financial debt and cash with short-term investments, USD m

Source: stockanalysis.com balance sheets FY2021 to FY2025; SQM 2Q2026 earnings release for 30 June 2026.

Balance-sheet measure	FY2023	FY2024	FY2025	Jun-26
Net debt incl. leases, USD m	2,179	2,393	2,043	966
Net debt to EBITDA	0.69x	1.69x	1.36x	0.33x
Current ratio	2.50x	2.51x	3.27x	2.61x
Equity ratio (total equity over total assets)	47.6%	45.2%	55.5%	52.1%
Working capital, USD m	3,515	3,359	4,011	4,719

Calculated by the analyst from the balance sheet and EBITDA above. Quick ratio at June 2026 is about 1.9x (cash, investments and receivables over current liabilities).

Assessment. The balance sheet is strong at the moment: net debt fell by USD 1.1bn in six months and the current ratio is 2.6x. The red flags are modest. Intangibles of USD 2.55bn (16% of assets) and USD 2.4bn of minority interest are the capitalized and accounting footprint of the Codelco agreement; debt rose from USD 2.9bn to USD 5.2bn between 2022 and 2026, with USD 426m due within a year; current income taxes payable jumped to USD 816m, which will absorb cash in the second half; and the lease and pension obligations are small (USD 98m and USD 44m). Inventory of USD 1.9bn is stable in dollar terms, so it is not a signal of demand stress. Off-balance-sheet obligations were not identified in the sources reviewed.

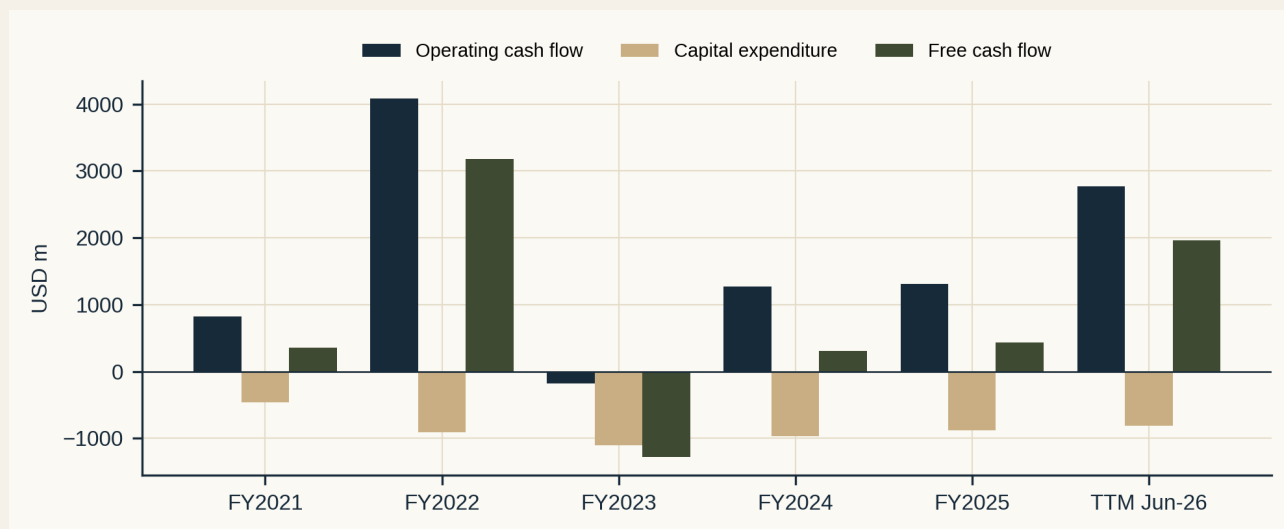
C. Financial Statements, continued

C3. Cash Flow Statement

USD m	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Operating cash flow	823	4,080	-178	1,275	1,314	2,768
Capital expenditure	-465	-905	-1,104	-972	-877	-811
Free cash flow (derived)	358	3,175	-1,282	303	438	1,957
Dividends paid	-172	-2,238	-1,471	-67	-4	-350
Net debt issued (repaid)	678	235	1,519	350	-143	493
Net income (attributable)	585	3,906	2,013	-404	588	1,389
OCF to net income	1.4x	1.0x	n/m	n/m	2.2x	2.0x
Capex to revenue	16.2%	8.4%	14.8%	21.5%	19.2%	12.0%
FCF margin	12.5%	29.6%	-17.2%	6.7%	9.5%	29.0%

Source: stockanalysis.com cash flow statements. FCF is operating cash flow less capital expenditure; OCF to net income not meaningful where either is negative. Acquisitions, buybacks and share issuance were not material in the period reviewed.

Chart 10. Operating cash flow, capital expenditure and free cash flow, USD m



Source: stockanalysis.com annual cash flow statements FY2021 to FY2025 and TTM to 30 June 2026.

Earnings and cash. In several periods net income and free cash flow diverge sharply. In 2022 earnings of USD 3.9bn were followed by 2023 operating cash flow of negative USD 178m despite USD 2.0bn of net income: the tax and working-capital bill on record earnings was paid in the following year (Reasoned). In 2024, net income was negative USD 404m while operating cash flow was positive USD 1,275m, possibly because part of the USD 1.37bn tax charge was non-cash or deferred (Reasoned, not confirmed). In 2025 and TTM, operating cash flow is twice net income because depreciation (USD 415m to 430m) is large and the minority share does not reduce operating cash flow. Cash conversion is therefore best judged over a

full cycle: cumulative FY2021 to FY2025 free cash flow was USD 3.0bn against cumulative net income of USD 6.7bn, about 45%, because capex has been above USD 0.9bn in three of five years.

Capital allocation. Over five years SQM paid USD 3.95bn of dividends, almost all in 2022 and 2023, funded in 2023 by USD 1.5bn of net borrowing. The company is now in an investment phase: capex of USD 3bn from 2026 to 2028 plus Mt. Holland USD 450m to 500m. Dividends have resumed (TTM USD 350m; USD 1.435 per ADS ex-dividend 8 September 2026, Sourced Alpha Vantage), a payout ratio of about 32% (Sourced, stockanalysis.com) so the company is retaining about two-thirds of earnings to fund growth.

C4. Forecasting and Projections

Approach (Reasoned). Revenue is modelled as lithium price multiplied by volume, with the other businesses growing at 3% to 4%. First-half 2026 revenue was USD 4,228m; the base case assumes second-half revenue of about USD 4.8bn (stable lithium prices guided by management for the third quarter plus volume growth), so FY2026E revenue is about USD 9.0bn. Thereafter the base case assumes the lithium price eases from the second-quarter level toward the cost-supported floor cited by Cochilco (USD 21.4 per kg in 2027) but also that rising supply caps it, so revenue falls 12% in 2027 and 5% in 2028, then grows 2% to 4% a year on volume (NovaAndino above 300,000 tonnes, Mt. Holland expansion in 2030).

Scenario	Revenue 2026E, USD m	2027E	2028E	2029E	2030E	EBIT margin 2030E	FCFF 2030E, USD m
Bear	8,300	5,976	5,259	5,101	5,203	24%	658
Base	9,000	7,920	7,524	7,674	7,981	33%	1,486
Bull	9,300	9,765	10,351	10,972	11,521	40%	2,704

Source: analyst projections (Reasoned); all values are assumptions, not forecasts of company results. FCFF is free cash flow to the firm before minorities.

Margins. Base-case EBIT margin falls from about 50% in the first half of 2026 to 42% in 2027, 38% in 2028 and 33% from 2030, reflecting lower realized prices and royalty-like payments to Corfo and Codelco that rise with price. SG&A at 2.4% of revenue is not a lever. **Working capital and capex:** working capital of 12% of incremental revenue; capex of 12% of revenue in 2027 falling to 7% by 2031 as the USD 3bn program completes; D and A at 6% of revenue. Maintenance capex is about USD 300m a year (Sourced), 3% to 4% of base-case revenue, so most of the remainder is growth capex.

Sensitivity of base-case value per ADS (USD)

WACC / terminal growth	1.5%	2.0%	2.5%	3.0%	3.5%
9.5%	65	68	70	74	77
10.0%	61	63	65	68	71
10.5%	57	59	61	63	66
11.0%	54	55	57	59	61
11.5%	51	52	54	55	57

Source: analyst DCF (Reasoned). Equity value per ADS after net debt USD 966m and minority interest at book USD 2,365m, 285.64m shares.

Margin change after 2028 / growth change	-2 pts	-1 pts	+0 pts	+1 pts	+2 pts
-6 pts	45	48	50	52	55
-3 pts	50	53	55	58	61
+0 pts	55	58	61	64	68
+3 pts	60	63	67	70	74
+6 pts	65	68	72	76	80

Source: analyst DCF (Reasoned). Rows shift EBIT margin from 2029; columns shift annual revenue growth from 2029. WACC 10.5%, terminal growth 2.5%.

C. Financial Statements, continued

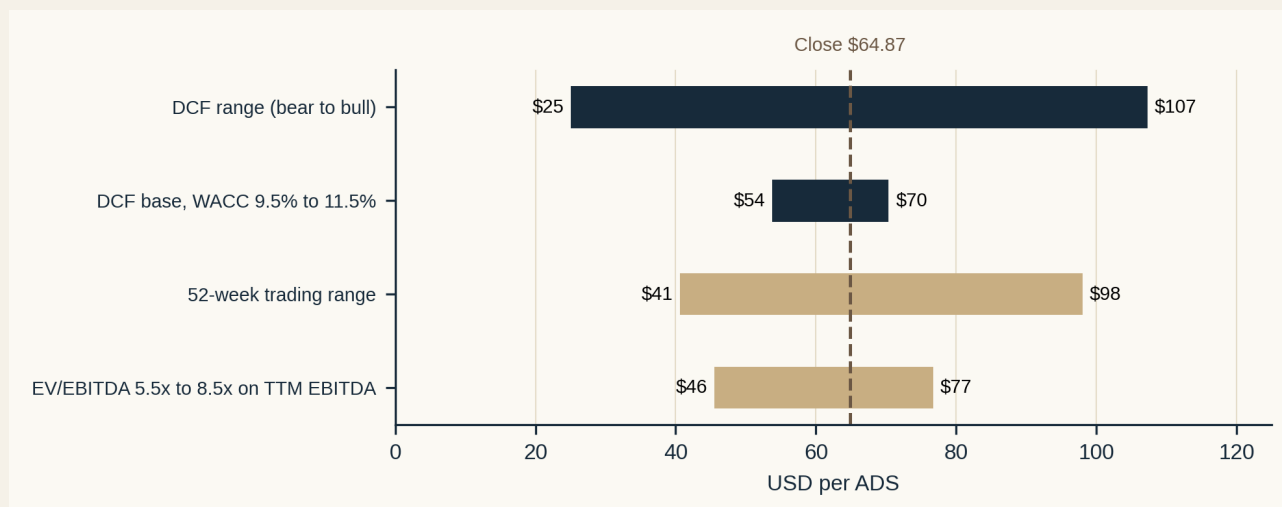
C5. Discounted Cash Flow (DCF) Model

Assumption	Base case	Basis
Revenue	USD 9.0bn 2026E; -12% 2027E, -5% 2028E, then +2% to +4%	Reasoned from H1 2026 actuals and guidance
Operating margin (EBIT)	42%, 38%, 35%, 34%, then 33%	Reasoned; TTM 38.9%, FY2025 23.8%
Tax rate	38% of EBIT	H1 2026 effective: tax USD 738m on pre-tax profit of about USD 1.9bn (derived)
Capex	12% of revenue 2026E and 2027E, 11% 2028E, 9%, 8%, 7.5%, then 7%	Company plan USD 3bn 2026 to 2028; sustaining USD 300m a year
Depreciation and amortization	6% of revenue	FY2025 9.1%, TTM 6.4% (derived)
Working capital	12% of change in revenue	Reasoned
WACC	10.5% (sensitivity 9.5% to 11.5%)	Reasoned: USD cost of equity about 11.5% (beta near 1.0, Chilean country risk), after-tax cost of debt about 5%, 80% equity weight
Terminal growth	2.5%	Reasoned; below long-run nominal USD growth
Net debt	USD 966m	30 June 2026, debt and leases less cash and investments (derived)
Minority interest	USD 2,365m at book	Reasoned; see caution below
Shares	285.64m	Series A and B combined

Valuation date 30 September 2026. Cash flows for the second half of 2026 are discounted for a quarter-year, subsequent years on a mid-year basis.

Scenario	Enterprise value, USD m	Equity value, USD m	Value per ADS, USD	Terminal value share of EV	Versus USD 64.87
Bear	10,488	7,157	25	40%	-61%
Base	20,759	17,428	61	44%	-6%
Bull	33,984	30,653	107	45%	+65%

Source: analyst DCF (Reasoned). Bear: lithium returns toward USD 12 per kg, EBIT margin 24% to 25%; Bull: prices hold, volumes grow, EBIT margin 38% to 48%.

Chart 11. Valuation range per ADS, USD

Source: analyst DCF, EV/EBITDA applied to TTM EBITDA of USD 2,971m (5.5x to 8.5x), 52-week range from Alpha Vantage weekly data. Close of USD 64.87 on 30 September 2026.

Reading the range. The base case gives about USD 61 per ADS, and USD 54 to 70 across a WACC of 9.5% to 11.5%, around the market price of USD 64.87. The bear case (USD 25) and bull case (USD 107) are very far apart: the equity is an option on the lithium price, and the DCF should be read as a range, not a point. Terminal value is 40% to 45% of enterprise value, which is moderate because explicit cash flows are large.

CAUTION ON MINORITY INTEREST

Minority interest is deducted at book value (USD 2,365m), the figure reported in the balance sheet. The economic share of NovaAndino cash flows attributable to Codelco is the most important unresolved item in this DCF: if the true value of that stake exceeds book value, equity value per ADS in every case would be lower. The reported first-half 2026 results, in which attributable net income was a high proportion of consolidated profit, suggest that the share of earnings leaving the group is smaller than a 50-50 split would imply, but the contractual mechanics were not fully retrieved and should be checked against the Form 20-F.

C6. Leveraged Buyout (LBO) Model

Not applicable. An LBO is not a meaningful analytical frame for SQM: the equity value is USD 18.5bn, the principal assets are held under a state concession (Corfo contract) and a state-controlled joint venture where change of control and operating control are governed by contract, and cash flow is too volatile to support leverage of 5x or more of EBITDA, which would be about USD 15bn on TTM earnings that could halve in a year (Reasoned).

D. Investment Thesis

Bull Case

Conditions (Reasoned). Lithium prices hold above USD 20 per kg through 2027 as energy-storage demand (459 GWh forecast for 2026) absorbs the surplus; NovaAndino reaches more than 300,000 tonnes of LCE in 2027; iodine stays above USD 70 per kg; and EBIT margin remains near 40% on a revenue base of USD 11bn or more by 2029. In the bull DCF, revenue grows to USD 14.4bn by 2036 and the value per ADS is about USD 107, 65% above the current price. Market expectation would also have to re-rate: a forward P/E of 11x on an EPS of USD 9 to 10 implies a share price near USD 100, which was the level seen in May 2026.

Bear Case

Conditions (Reasoned). Chinese and African supply keeps prices on the 2025 floor of about USD 9 to 12 per kg; sodium-ion takes part of stationary storage; the 2030 permit and 2031 control transition produce adverse terms; and capex of USD 3bn is spent while prices decline. The bear DCF has revenue falling to USD 5.3bn in 2028, EBIT margin of about 24%, and a value of about USD 25 per ADS, 61% below the current price. Debt would remain manageable (net debt to EBITDA below 2x on bear EBITDA) because the starting balance sheet is strong, so the bear case is a valuation event and not a solvency event.

Base Case

Conditions (Reasoned). The lithium price retreats modestly from the second-quarter level of USD 21.8 per kg toward USD 17 to 19, revenue declines to about USD 7.5bn in 2028 and recovers at 3% to 4% as volumes grow, EBIT margin settles near 33%, and capex falls from 12% to 7% of revenue by 2031. The base DCF value is about USD 61 per ADS (range USD 54 to 70), and a forward P/E near 11x on 2027E EPS of about USD 5.8 (revenue USD 7.9bn, EBIT USD 3.0bn, derived) gives a similar answer. Moderate valuation is therefore the market price today.

Catalysts

Catalyst	Timing and direction
Third-quarter 2026 earnings	Expected November 2026 (not confirmed); volume and price versus management guidance of stable prices
Lithium contract and spot price	Continuous; USD 21,363 per tonne Cochilco floor for 2027
Salar Futuro permit	Environmental documents submitted July 2026; approval would underpin growth after 2030
NovaAndino production	2026 guidance 280,000 to 290,000 tonnes LCE; above 300,000 tonnes in 2027
Mt. Holland expansion	First production from the expansion expected during 2030
Dividend policy	Resumed at about 32% payout; potential increase if free cash flow stays near USD 2bn
Tianqi stake sale	Divesting up to 1.25% of shares, an overhang or clean-up of the share register

Sources: SQM 2Q2026 earnings release; SQM Form 20-F 2025; third-party market note. Catalyst timing other than stated company guidance is the analyst's expectation (Reasoned).

Things to Monitor

Metric or event	Why it matters	Positive	Negative
Realized lithium price	Drives most of EBITDA	Holds above USD 20 per kg	Falls below USD 15 per kg
Global surplus and inventories	Sets the price floor	Cochilco surplus narrows below 100,000 tonnes	Surplus above 150,000 tonnes persists after 2027
Corfo and Codelco terms	Control from 2031; permit by 2030	Early permit and clarity	Adverse conditions or delay
Capex and returns	USD 3bn plan 2026 to 2028	On budget and on schedule	Overruns or delays at NovaAndino
Chinese EV and storage demand	Marginal demand	Storage additions above 450 GWh	Further EV retail declines; sodium-ion share growth
Net debt to EBITDA and taxes payable	USD 816m of current taxes due	Net debt stays under 1x	Net debt above 1.5x
Iodine price	Second profit pool	Above USD 70 per kg	Third-party supply pushes price down

E. Final Investment Framework

BUSINESS QUALITY	Good. Low-cost lithium brine and iodine, but single-commodity and contract-dependent: lithium is 70% of revenue and the Salar de Atacama 50.1%.
FINANCIAL QUALITY	Good. TTM free cash flow of USD 1,957m (29% margin), net debt to EBITDA of 0.33x, interest coverage of 13x; cash flow is volatile (negative USD 1.3bn in 2023).
COMPETITIVE POSITION	Strong in brine lithium and iodine; moat Moderate to Strong. Cost advantage at about USD 4,500 per tonne, offset by loss of operating control after 2030.
MANAGEMENT	Competent, internally developed. Long tenures; capital allocation was procyclical in 2022 and 2023 and debt-funded in 2024 and 2025; governance includes a competitor as a 21.9% shareholder.
INDUSTRY	Cyclical, growing, consolidating. Storage-driven demand growth against a persistent supply surplus (141,000 tonnes in 2025).
VALUATION	Reasonable. 13.3x trailing P/E, 7.4x EV/EBITDA, 10.6% FCF yield; base-case DCF range USD 54 to 70 against USD 64.87; wide bear to bull range.
TECHNICAL AND MARKET STRUCTURE	Weak near term. Below the 50-day (USD 72.39) and 200-day (USD 76.75) averages, RSI 34, MACD negative; 34% below the 52-week high; volatility 47% annualized.
PRINCIPAL RISK	Lithium price returning to the 2025 level of about USD 9 per kg while capex of USD 1bn a year continues.
PRINCIPAL CATALYST	Evidence in the third and fourth quarters of 2026 that realized prices of USD 20 per kg or more are sustained.
KEY VARIABLE	The realized lithium price per kg: USD 1 per kg on about 280,000 tonnes is about USD 280m of revenue (Reasoned).
THESIS INVALIDATION	The investment thesis would become materially weaker if the realized lithium price stays below USD 15 per kg for two consecutive quarters, if the Salar de Atacama permit is not granted by 31 December 2030 on the terms assumed, or if net debt to EBITDA exceeds 1.5x while the USD 3bn capex plan continues.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market cap	USD 18.5bn	USD 12.6bn (at 30 Sep 2025 price)	Up 47% in 12 months (price only); share count held constant
Market	Enterprise value (ex minorities)	USD 19.5bn	n/a (not retrieved)	Net debt USD 2,043m at FY2025 and USD 966m at Jun-26
Market	Share price (ADS)	USD 64.87	USD 44.24	3Y: +26%; 5Y: +57% (total return)
Growth	Revenue growth	+103.4% (6M26 y/y)	+1.0% (FY2025)	FY21 to FY25 CAGR 12.4%
Profitability	Gross margin	42.2%	29.6%	FY2022 53.6%; FY2023 41.2%
Profitability	Operating margin	38.9%	23.8%	FY2022 52.1%; FY2023 38.8%
Profitability	Net margin	20.6%	12.9%	FY2022 36.5%; FY2024 -8.9%
Profitability	ROE	21.8%	n/a	Not retrieved by year
Profitability	ROIC	16.9%	n/a	Not retrieved by year
Cash flow	Operating cash flow	USD 2,768m	USD 1,314m	FY2022 USD 4,080m; FY2023 negative USD 178m
Cash flow	Free cash flow	USD 1,957m	USD 438m	FY2022 USD 3,175m; FY2023 negative USD 1,282m
Leverage	Net debt / EBITDA	0.33x	1.36x	FY2023 0.69x; FY2022 net cash
Valuation	P/E	13.3x	34.8x (year end)	FY2022 5.8x; FY2023 8.5x
Valuation	EV/EBITDA	7.4x incl. minorities	n/a	Peers: Albemarle 8.7x, Mosaic 7.4x
Valuation	P/FCF	9.5x	n/a	FCF yield 10.6%
Market	Beta (vs SPY, weekly)	0.99 (1Y)	0.77 (3Y)	Provider beta 1.02
Market	Volatility (annualized)	47.0% (1Y)	45.1% (3Y)	5Y 50.7%
Market	Maximum drawdown	-69.3% (5Y)	n/a	Peak May 2022; 52-week high to date -34%

Sources: stockanalysis.com, Alpha Vantage, SQM earnings release; calculations by the analyst. Prior year is FY2025 for flow metrics and the 30 September 2025 weekly close for price and market capitalization. Current is trailing twelve months to 30 June 2026 and the 30 September 2026 close.

G. Sources and Methodology

Primary Sources

SQM S.A., 2Q2026 Earnings Release. 19 August 2026. https://ir.sqm.com/system/files-encrypted/nasdaq_kms/news/2026/08/19/2-11-20/2Q2026%20Earnings%20release_eng_VF.pdf

Information obtained: segment revenue, volumes, prices, EBITDA, net income, balance sheet, capex plan, guidance, production

SQM S.A., Form 20-F, fiscal year 2025 (copy of the filing). 2026. <https://minedocs.com/32/SQM-20-F-2025.pdf>

Information obtained: shareholders at 31 March 2026, Corfo contract and NovaAndino terms, risk factors, employees, revenue geography, 2023 and 2025 average lithium price

SQM S.A., Management. accessed 1 October 2026. <https://sqm.com/en/acerca-de-sqm/directorio-y-administracion/administracion/>

Information obtained: executive names, roles and backgrounds

SQM S.A., Investor Relations home page. accessed 1 October 2026. <https://ir.sqm.com/>

Information obtained: access to results, presentations and filings

Secondary Sources

United States Geological Survey, Mineral Commodity Summaries 2026: Lithium. 2026. <https://pubs.usgs.gov/periodicals/mcs2026/mcs2026-lithium.pdf>

Information obtained: battery share of lithium consumption (88%), 2025 average carbonate price

Discovery Alert, Lithium Market Outlook: Surplus Keeps the Floor Fragile. September 2026. <https://discoveryalert.com/analysis/lithium-market-outlook-surplus-floor-september-2026/>

Information obtained: spot price range, Cochilco surplus and floor estimates, storage and EV demand, risks (third-party commentary; figures attributed in the text)

Market Data

Alpha Vantage, Daily, weekly adjusted and company data for SQM and SPY (documentation). data to 30 September 2026. <https://www.alphavantage.co/documentation/>

Information obtained: daily prices, weekly adjusted prices, quarterly statements, company overview (forward P/E, 200-day average, beta, EBITDA)

stockanalysis.com, SQM financial statements. accessed 1 October 2026. <https://stockanalysis.com/stocks/sqm/financials/>

Information obtained: annual income statement FY2021 to FY2025 and TTM

stockanalysis.com, SQM balance sheet. accessed 1 October 2026. <https://stockanalysis.com/stocks/sqm/financials/balance-sheet/>

Information obtained: annual balance sheet FY2021 to 30 June 2026

stockanalysis.com, SQM cash flow statement. accessed 1 October 2026. <https://stockanalysis.com/stocks/sqm/financials/cash-flow-statement/>

Information obtained: annual cash flow, dividends, capex

stockanalysis.com, SQM statistics. accessed 1 October 2026. <https://stockanalysis.com/stocks/sqm/statistics/>

Information obtained: market capitalization, ROE, ROIC, dividend, short interest, ownership

stockanalysis.com, Albemarle statistics. accessed 1 October 2026. <https://stockanalysis.com/stocks/alb/statistics/>

Information obtained: peer valuation and margins

stockanalysis.com, PLS Group statistics. accessed 1 October 2026. <https://stockanalysis.com/quote/asx/PLS/statistics/>

Information obtained: peer valuation and margins (Australian dollars)

stockanalysis.com, Mosaic statistics. accessed 1 October 2026. <https://stockanalysis.com/stocks/mos/statistics/>

Information obtained: peer valuation and margins

Calculations and Methodology

The following are calculated by the analyst and are not reported figures: market capitalization (285.64m shares multiplied by the closing price); enterprise value (market capitalization plus net debt, with minorities shown separately at book); EBITDA for FY2021 to FY2025 (operating income plus depreciation and amortization) and TTM EBITDA (sum of four quarters); free cash flow (operating cash flow less capital expenditure); all ratios, CAGRs, margins, turnover and coverage measures; returns, volatility, beta, correlation and drawdown from weekly adjusted closes; RSI, MACD and ATR from the daily series; and the three-scenario DCF, sensitivity tables and valuation range. Where two data providers differ, SQM company figures are preferred, followed by stockanalysis.com for annual statements and Alpha Vantage for market prices; differences are noted beside the relevant table. Share count is 285.64m (Series A and B combined); a provider figure of 142.8m refers to the Series B shares only. Currency is US dollars throughout.

Disclaimer. This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. It was prepared with the assistance of Claude AI and is based on publicly available sources believed to be reliable, but accuracy and completeness are not guaranteed. Past performance is not indicative of future results, and readers should conduct their own due diligence.